



Intelligent Credit Insights

CREDIT INTELLIGENCE REPORT

Company: ABC Trading LLC

Report Date: 2025-04-11

Report ID: VCR-UAE-0047

Prepared For: ABC Trading LLC

CONFIDENTIAL



1. ORDER SUMMARY

Order Information

Field	Details
Client Name	ABC Trading LLC
Client Reference	REF-2025-0047
Company Name	ABC Trading LLC
Country	UAE
Address	Warehouse 12, Jebel Ali Free Zone, Dubai, UAE
CR No.	CN-1234567
Phone	+971-4-881-1234
Fax	+971-4-881-1235
Analyst	Ahmed Al-Rashid



Comment: Urgent credit assessment for trade facility renewal



2. EXECUTIVE DASHBOARD

Quick Decision Summary

CREDIT RATING

BB+

RISK LEVEL

Medium

RECOMMENDED LIMIT (USD)

USD 850,000

MAX EXPOSURE (USD)

USD 1,200,000

COMPANY SIZE

Medium Enterprise

AED 185,000,000 (≈ USD 50.4M) Revenue

PAYMENT RISK

Low

PAYDEX: 35

FINANCIAL HEALTH

Strong

Score: 82/100

Key Financial Ratios

Current Ratio	Debt/Equity	EBIT Margin	Quick Ratio
1.85	0.77	11.8%	1.32

Risk Scorecard

Viability	78	78/100
Delinquency Risk	25	25/100
Failure Risk	18	18/100
Payment Index	88	88/100

Alerts & Warnings

✓	Active trade license - valid until March 2026
⚠	DPO 45 days - slightly above industry average

Risk Mitigation Strategies

Strategies to mitigate identified risks:

Mitigation Strategy	Expected Outcome
Corporate guarantee from parent	Strengthens credit position
Annual financial reviews	Early warning on deterioration



3. EXECUTIVE SUMMARY

Company Overview

ABC Trading LLC is an established wholesale trading company in Jebel Ali Free Zone, specializing in hardware and building materials distribution across the GCC. The company demonstrates strong financial health with consistent profitability, reasonable leverage, and adequate liquidity. Credit rating is BB+ with stable outlook. Recommended credit limit: USD 850,000.

Company History

 Founded in 2015, ABC Trading has grown to become a significant distributor of hardware and building materials in the UAE and GCC markets.

Key Business Metrics

EMPLOYEES

85

Jebel Ali (85 staff)

REGISTERED CAPITAL

10,000,000

Paid-up Capital

ANNUAL TURNOVER

AED 185,000,000 (≈
USD 50.4M)

Revenue



4. COMPANY PROFILE

Company Identification

Legal Name:	Al-Bait Commodities Trading LLC
Trade Names:	ABC Trading, ABC Commodities
Industry:	Wholesale of General Hardware
Company Type:	Limited Liability Company
Incorporation Date:	2015-03-15
Duration:	Perpetual
Capital:	10,000,000
SIC Codes:	5152

Contact Information

Headquarters:	Warehouse 12, Jebel Ali Free Zone, Dubai, UAE
Phone:	 +971 4-881-1234 (Reception) - Main switchboard
Mobile:	 +971 50-123-4567 (Khalid Al-Mheiri) - Managing Director
Fax:	+971-4-881-1235
Email:	info@abctrading.ae

Website:

www.abctrading.ae

Registration Details

CR / Registration No.	CN-1234567
Unified Number	UAE-2024-123456
License Type	Trading License
Investment License No.	IL-2024-789
Issue Date	2015-03-15
Expiry Date	2026-03-14
Auditor	KPMG
Trade License No.	TL-2024-87654
TRN (VAT)	100123456789003
Economic Dept. (DED)	DED-2024-5678
Free Zone License	JFZ-2015-789
Dubai Chamber Member	Chamber-2015-45678
Dubai Customs Authority	DCA-TRD-789



5. OWNERSHIP & MANAGEMENT

Shareholders

Name	Title / Position	% Holding	Nationality	Type
Khalid Hassan Al-Mheiri	Managing Partner	60%	UAE	Individual
Al-Bait Holdings LLC	Corporate Partner	40%	UAE	Corporate

Key Management

Khalid Hassan Al-Mheiri
Managing Director | Executive

20+ years in UAE trading sector

+971-50-123-4567
khalid@abctrading.ae

Rashid Abdullah
Finance Manager | Finance

CPA with 12 years experience

+971-4-881-1234
rashid@abctrading.ae

Board of Directors

Name	Role	Nationality	Since
Khalid Al-Mheiri <i>Founder and main shareholder</i>	Chairman	UAE	2015
Omar Hassan <i>Representative of Al-Bait Holdings</i>	Board Member	UAE	2018

Corporate Structure

Parent Company:	Al-Bait Holdings LLC
Subsidiaries:	ABC Building Materials FZE, ABC Logistics LLC
Affiliates:	Gulf Hardware Trading

 6. RELATED CONCERNS (Branches & Affiliates)

Branches Network

Entity	Unified No.	CR No.	City	Function	Status
Abu Dhabi Office	UAE-2024-123457	CN-7654321	Abu Dhabi	Sales Office	ACTIVE

Regional Affiliates

 ABC Building Materials FZE	 ABC Logistics LLC
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Group Headquarters

 Al-Bait Holdings LLC – Dubai, UAE
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 7. OPERATIONS OVERVIEW

Registration Activities

Business Description:	Wholesale of general hardware, building materials, tools, and industrial supplies
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Industry Classification Codes

Code Type	Codes	Description
NACE Codes	5152	Wholesale of General Hardware
HS Codes (6-digit)	8201,8202,8203,3808	Hand tools, locks, hardware

Operational Details

EMPLOYEES 85 Jebel Ali (85 staff)	FACILITIES 2 Jebel Ali Free Zone	MARKETS SERVED 5 UAE, Saudi Arabia, Qatar, Kuwait, Oman
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Supply Chain

 Purchasing (Inbound)	 Sales (Outbound)
Main Suppliers:  China, India, Germany Local Sourcing: 25% UAE-based packaging and logistics Importing: 75%  China, India, Germany, Taiwan Imported Items:Hand tools, fasteners, paints Payment Method: Letter of Credit Payment Terms:Net 60 days	Key Customers:  UAE Construction Companies,  Hardware Retailers Local Sales: 70% UAE distributors and retailers Export: 30%  Saudi Arabia, Qatar, Kuwait, Oman Exported Items:Hardware, tools, building materials Payment Method: Open account Payment Terms:Net 30-60 days



Import, export, and wholesale trading of general hardware, building materials, tools, paints, sanitary ware, and industrial supplies



8. BANKING RELATIONSHIPS

Banking Partners

Bank	Facility Type	Usage
Emirates NBD	Overdraft	Working capital
FAB	Trade Finance	LC/Guarantees
Dubai Islamic Bank	Term Loan	Fleet financing

Banking Summary

TOTAL BANKING PARTNERS 3	PRIMARY BANK Emirates NBD	GROUP TREASURY Yes - centralized via Al-Bait Holdings
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Company Size Classification

Why Medium Enterprise Size Company?

AED 185M revenue, 85 employees

Additional Notes

 Long-standing relationship with Emirates NBD since 2016

 9. FINANCIAL HIGHLIGHTS

 Financial Statement Status

Currency	Unit Scale	Statement Type
AED	Millions	Audited
Period End	Scope	Basis for Ratios
December 31	Standalone	Year-end

Income Statement Summary

Line Item	2024	2023	2022	Trend
Revenue	AED 185.0	AED 158.3	AED 142.5	↑ Growing +17%
Cost of Goods Sold	AED 125.8	AED 108.2	AED 98.3	↑ Growing +16%
Gross Profit	AED 59.2	AED 50.1	AED 44.2	↑ Growing +18%
Operating Expenses	AED 28.5	AED 24.8	AED 22.5	↑ Growing +15%
EBITDA	AED 30.7	AED 25.3	AED 21.7	↑ Growing +21%
Net Income	AED 11.5	AED 10.5	AED 8.2	↑ Growing +10%

Balance Sheet Summary

Line Item	2024	2023	2022	Trend
ASSETS				
Cash & Equivalents	11.2	10.8	8.9	→ Stable
Accounts Receivable	24.8	21.2	18.5	↑ Growing +17%

Inventory	16.2	14.8	12.3	↑ Growing +9%
Current Assets	56.5	50.2	42.8	↑ Growing +13%
Total Assets	108.2	92.3	78.5	↑ Growing +17%
LIABILITIES & EQUITY				
Current Liabilities	30.2	26.8	22.5	↑ Growing +13%
Long-Term Debt	16.8	14.2	12.5	↑ Growing +18%
Total Liabilities	47.0	41.0	35.0	↑ Growing +15%
Total Equity	61.2	51.3	43.5	↑ Growing +19%

Cash Flow Summary

Line Item	2024	2023	2022	Trend
Net Cash Flow from Operating Activities	AED 16.8	AED 14.2	AED 12.5	↑ Growing +23%
Net Cash Flow from Investing Activities	AED -4.1	AED -2.8	AED -3.2	↓ Investing in expansion
Net Cash Flow from Financing Activities	AED -2.3	AED -1.5	AED -2.1	→ Stable dividend policy
Cash Flow at End of Period	AED 11.2	AED 10.8	AED 8.9	→ Stable cash position



10. FINANCIAL RATIOS

Liquidity Ratios

Ratio	2022	2023	Ind. Avg	Status	Interpretation
Current Ratio	1.85	1.72	1.45	LOW	Excellent liquidity position
Quick Ratio	1.32	1.22	0.95	LOW	Good quick asset coverage
Cash Ratio	0.37	0.33	0.25	LOW	Good cash position

Profitability Ratios

Ratio	2022	2023	Ind. Avg	Status	Interpretation
Gross Margin	32.0%	31.6%	28.5%	LOW	Strong pricing power

EBITDA Margin	16.6%	16.0%	12.5%	LOW	Strong operating efficiency
Net Margin	6.2%	6.6%	5.2%	LOW	Healthy profitability
Return on Assets (ROA)	10.6%	10.4%	8.5%	LOW	Efficient asset utilization
Return on Equity (ROE)	18.8%	18.3%	15.2%	LOW	Good shareholder returns

Leverage & Solvency Ratios

Ratio	2022	2023	Ind. Avg	Status	Interpretation
Debt / Equity	0.77	0.80	1.15	LOW	Low leverage
Debt / Assets	43.4%	44.4%	52.0%	LOW	Asset-backed
Equity Ratio	56.6%	55.6%	48.0%	LOW	Solid equity base
Interest Coverage	8.5x	7.2x	5.5x	LOW	Good debt service ability

Efficiency Ratios

Ratio	2022	2023	Ind. Avg	Status	Interpretation
Asset Turnover	1.71x	1.72x	1.65x	LOW	Efficient asset use
Inventory Days (DIO)	52 days	55 days	60 days	LOW	Efficient inventory management
Receivables Days (DSO)	49 days	52 days	55 days	LOW	Reasonable collection period
Payables Days (DPO)	45 days	42 days	40 days	WARNING	Could improve payment terms
Cash Conversion Cycle	56 days	65 days	75 days	LOW	Efficient working capital cycle

11. RISK ASSESSMENT

Predictive Risk Scores

Score Type	Score	Risk Level	Prob.	Meaning
Viability	78	MEDIUM-HIGH	12%	Strong business model with adequate financials
Delinquency	25	LOW	5%	Strong payment history

Payment Behavior Analysis

AVG DAYS BEYOND TERMS 15	% PAID ON TIME 85%	HIGHEST PAST DUE 25
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Payment Speed	% of Payments	Amount
Prompt (within terms)	85%	AED 45,000,000
1–30 days slow	12%	AED 6,200,000
31–60 days slow	3%	AED 1,500,000
90+ days slow	0%	0

12. LEGAL STATUS & COMPLIANCE

Legal Events Summary

Event Type	Count	Amount	Last Filing	Status
Lawsuits	0	0	N/A	SUCCESS
Liens	0	0	N/A	SUCCESS
Judgments	0	0	N/A	SUCCESS

Compliance Status

-  **Business License:** Valid (Expires: 2026-03-14)
-  **Tax Compliance:** VAT Compliant

13. NEWS & RECENT DEVELOPMENTS

Timeline of Events

- 2024-09-15

ABC Trading expands warehouse in Jebel Ali
Company announces 50% expansion of storage capacity
POSITIVE

14. INDUSTRY & MARKET ANALYSIS

Industry Overview

Industry:	Wholesale of General Hardware
Market Size:	AED 12 Billion (UAE)
Growth Rate:	6.5% annual

Country & Sector Overview – UAE Hardware Trading

Indicator	Latest	Comment
Market Size (2024)	AED 12B	Growing construction sector driving demand
Forecast Growth (2025-2027)	5-7%	Stable growth expected
Local Production Share	1.5%	Mid-sized player in fragmented market
Regional Trade Flow	Import-focused with re-export to GCC	Strategic position in Jebel Ali
Key Risks	Market fragmentation, price competition from direct importers	
Key Drivers	Construction boom, infrastructure projects, tourism	
Major Players	Al-Futtaim, Alfahim, Al-Futtaim Hardware	

 **Summary:** Fragmented market with steady demand from construction sector. ABC maintains niche in specialty hardware.

SWOT Analysis

-  **Strengths**
- Strong financial position
 - Established supplier network
 - Strategic Jebel Ali location
 - Diversified GCC customer base

-  **Weaknesses**
- Limited own fleet
 - Dependence on few key suppliers
 - Tight margins in commodity products
 - Limited geographic expansion

-  **Opportunities**
- UAE infrastructure projects
 - GCC market expansion
 - E-commerce growth
 - Strategic warehouse expansion

-  **Threats**
- Chinese direct competition
 - Price erosion
 - Economic slowdown
 - Regulatory changes

✓ 15. CREDIT RECOMMENDATION

📋 Final Credit Assessment

CREDIT RATING

BB+

RECOMMENDED LIMIT (USD)

USD 850,000

MAXIMUM EXPOSURE (USD)

USD 1,200,000

REVIEW FREQUENCY

Annual

RISK LEVEL

Medium

MAXIMUM EXPOSURE (USD)

USD 1,200,000

PAYMENT TERMS

Net 45 days

Credit Opinion:

ABC Trading LLC demonstrates strong operational performance with healthy financial ratios. The company maintains adequate liquidity and manageable leverage. Given the stable market position and conservative financial management, we recommend a credit limit of USD 850,000 with annual review.



16. MONITORING & TRIGGERS

Monitoring Triggers

The following events should trigger an immediate credit review:

Trigger Event	Action Required
Revenue decline >20%	Trigger financial review
Payment delay >60 days	Escalate to management
License expiry	Confirm renewal

Early Warning Indicators

PAYMENT DELAYS

success

vs. last quarter

CREDIT UTILIZATION

65%

of approved limit

FINANCIAL TREND

↑ Growing

12-month outlook

Critical Alerts to Watch



High Priority: N/A



Medium Priority: Payment delays — threshold: 60 days



Low Priority: Changes in ownership structure or management



17. APPENDICES

Appendix A: Scoring Methodology

Score	Components	Weight
Viability Score	Financial health, payment history, industry outlook, management quality	Variable
Delinquency Score	Past payment behavior, current financial position, credit utilization	Variable
Failure Score	Liquidity ratios, debt levels, profitability trends, market conditions	Variable
Payment Index	Historical payment patterns, average days to pay, dispute frequency	Variable

Appendix B: Credit Rating Scale

Rating	Risk Level	Description	Recommendation
AAA – AA	Minimal	Excellent creditworthiness, strong financial position	Extend full credit
A – BBB	Low	Good creditworthiness, stable outlook	Standard credit terms
BB – B	Medium	Adequate creditworthiness, some concerns	Secured / reduced credit
CCC – C	High	Weak creditworthiness, significant risk	Cash terms only
D	Default	In default or bankruptcy	No credit extension

Appendix C: Data Sources

Source Type	Details
Commercial Registry	Official government commercial registration records and gazette publications
Financial Statements	Audited or management accounts submitted by the subject company
Tax & Regulatory Bodies	National tax authority records, VAT/Zakat compliance certificates
Legal & Court Records	Public court filings, judgment registers, and lien records
Trade References	Direct supplier and customer interviews and payment history surveys
Banking Information	Bank confirmation letters and banking relationship disclosures
News & Media	Licensed press databases, official press releases, verified news outlets
Industry Databases	Sector reports from recognized research agencies and trade associations
On-Site Visits	Field visits, management interviews, and facility inspections where conducted

Analyst Comment on Data Quality

Data Quality:	A
Limitations:	N/A - Complete audited financials provided
Analyst Note:	Audited financials from KPMG, supplementary due diligence via web

DISCLAIMER:

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